

defence SMEs

Armed with high technology and braving red-tape, over 150 small- and medium-sized Indian private players make inroads in the rarefied world of defence production and export

■ By Sandeep Unnithan

Every day, millions of soldiers across the world, from Turkey to the United States, don Kevlar helmets. One in every 10 of these helmets is rolled off the production line of M Kumar Udyog (MKU), a small Kanpur-based company that cranks out a staggering 25,000 ballistic helmets—enough to equip over two army divisions—in a month. The helmets cost \$200 (Rs 8,000) each and are exported to the armies of over 40 countries, including the police and homeland security forces of the US.

Neeraj Gupta, who heads the company's foreign sales department, recalls the time, five years ago, when foreign firms cited lower costs in China to counter his price. Recently, however, Gupta bagged a \$15-million (Rs 60-



VANEESH AGNIHOTRI

SMALL IS THE NEW BIG

crore) order to armour Turkish naval frigates despite his quote being 40 per cent higher than his nearest competitor's. "When I recently asked a foreign defence company if the Chinese were not competing any more, they said they were looking for armoured protection, not soft toys," he explains.

Today MKU is a buzzword in the rarefied world of armour protection, be it equipping the soldiers of Singapore or armouring German-built warships in Turkey. The firm, which bought its

► **ROSBOBORNSERVICE CMD COMMANDER (RETIRED) V.G. JAYAPRAKASAN (CENTRE), WITH HIS RUSSIAN BUSINESS PARTNERS**

The largest provider of defence servicing in India has a turnover of Rs 100 crore and hopes to expand to Rs 500 crore by 2010.

"Servicing defence equipment locally is as important as producing it."



helmet technology from a US company a few years ago for Rs 50 lakh, plans to buy German and American firms to be able to compete better in the international market. MKU is one of the biggest success stories in the nascent, but fast-growing, private sector defence industry. Seven years after the doors were thrown open to private participants, they now produce world-class helmets, electronic processors, nuclear fallout shelters, simulators and unmanned aerial vehicles. These small and medium enterprises (SMEs)—with investments in equipment between Rs 10 lakh and Rs 5 crore—are the new defence providers, taking baby steps towards the great goal of self-sufficiency in the defence sector.

There are over 5,000 companies in India supplying 20-25 per cent of the components to state-owned defence firms. According to the Pune-based